

COMMERCIAL LEASE AGREEMENT

ARTICLE 1: PARTIES

This Lease Agreement ("Lease") is entered into as of January 1, 2025, by and between **METROPLEX PROPERTIES LLC**, a Delaware limited liability company ("Landlord"), and **GARCIA-JAMES**, a Delaware corporation ("Tenant").

ARTICLE 2: PREMISES

Landlord hereby leases to Tenant and Tenant hereby leases from Landlord those certain premises located at **Harbor Industrial Park**, consisting of approximately **4,588 square feet** of Usable Area and **5,139 square feet** of Rentable Area, commonly known as **200** (the "Premises"). The Rentable Area has been calculated in accordance with ANSI/BOMA Z65.1-2024 standards and includes a load factor of **1.1201**.

ARTICLE 3: TERM

The term of this Lease shall be for a period of five (5) years, commencing on **January 01, 2025** (the "Commencement Date") and expiring on **December 31, 2029** (the "Expiration Date"), unless sooner terminated as provided herein.

ARTICLE 4: BASE RENT

Tenant shall pay to Landlord annual base rent of **\$127,530.24** (\$10,627.52 per month), which equals **\$24.82 per square foot** of Rentable Area per annum. Base Rent shall be payable in advance on the first day of each calendar month during the Lease Term.

ARTICLE 5: OPERATING EXPENSES AND ADDITIONAL RENT

5.1 Definitions

"Operating Expenses" means all expenses incurred by Landlord in connection with the operation, management, maintenance, and repair of the Building and Common Areas, including but not limited to: real estate taxes and assessments; insurance premiums; utilities for Common Areas; janitorial and cleaning services; landscaping and snow removal; security; management fees; and repairs and maintenance.

5.2 Base Year

Tenant's Base Year for Operating Expenses shall be calendar year **2024** (the "Base Year"). Tenant shall not be responsible for Tenant's Pro Rata Share of Operating Expenses to the extent such expenses do not exceed the Operating Expenses for the Base Year.

5.3 Pro Rata Share

Tenant's proportionate share ("Pro Rata Share") of Operating Expenses shall be **2.5695%**, which represents the ratio of the Rentable Area of the Premises (5,139 square feet) to the total Rentable Area of the Building (80,000 square feet).

5.4 Expense Caps

Operating Expenses shall be subject to a **Cumulative Compounding Cap** of **3.0%** per annum over the Base Year amount. The cap shall be calculated with annual compounding such that the maximum Operating Expenses for any year shall equal the Base Year amount multiplied by $(1 + 3.0\%)^n$ raised to the number of years since the Base Year. Unused compounded capacity may be carried forward to subsequent years.

5.5 Gross-Up Provision

Variable Operating Expenses (including but not limited to janitorial services, utilities for Common Areas, and management fees) shall be "grossed up" to **90%** occupancy for purposes of calculating Tenant's share of Operating Expenses. This gross-up shall apply when the average physical occupancy of the Building is less than 90% during any calendar year.

5.6 Administrative Fee

Landlord shall be entitled to include in Operating Expenses an administrative fee equal to **10%** of all Operating Expenses to compensate Landlord for the cost of administering and

billing Operating Expense reconciliations.

SCHEDULE A: LEASE SUMMARY

Item	Details
Property	Harbor Industrial Park
Premises	200
Tenant	Garcia-James
Usable Area	4,588 sq ft
Rentable Area	5,139 sq ft
Load Factor	1.1201
Commencement Date	January 01, 2025
Expiration Date	December 31, 2029
Base Rent (Annual)	\$127,530.24
Base Rent (Monthly)	\$10,627.52
Base Rent (Per SF)	\$24.82/SF/year
Base Year	2024
Pro Rata Share	2.5695%
Expense Cap Type	Cumulative Compounding
Expense Cap Rate	3.0% per annum
Gross-Up Target	90% occupancy
Administrative Fee	10%